# MGT402

## Quiz#1

Attempt By HB




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1. Prime cost + Factory overhead cost is also called:
    a. Total factory cost
    b. All of the given options ✔
    c. Total manufacturing cost
    d. Total production cost
2. Which of the following statement is correct for “under-application of factory overhead cost”?
    a. It causes the decrease in the cost of goods sold and increased the gross profit
    b. It causes the decrease in cost of goods sold and reduces the gross profit
    c. It causes an increase in the cost of goods sold and increases the gross profit
    d. None of the given option ✔
3. The cost that is subject to actual payment or will be paid in future is known as:
    a. Implicit cost
    b. Explicit cost ✔
    c. Standard cost
    d. Activity based cost
4. The components of Factory overhead are as follows:
    a. Direct material + Indirect material + Direct expences
    b. Direct labor + Indirect labor + Indirect expences
    c. Indirect material + Indirect labor + Other indirect costs ✔
    d. Direct material + Indirect expences + Indirect labor
5. Which of the following is form of inventory of services entities?
    a. Finished goods inventory
    b. Work in process inventory

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c. Material and supplies inventory
d. Purchased goods inventory ✔

6. Store incharge after receiving the material as per the goods received note, places the material at its location and makes an entry in_____ .
   a. Store Ledger Card
   b. Stock Ledger
   c. None of the given options
   d. Bin Card ✔
7. Inventory turnover ratio = ? ÷ Average inventory
   a. Number of days in a year
   b. Net Income
   c. Opening inventory
   d. Cost of goods sold ✔
8. Which of the following is form of inventory of trading entities?
   a. Finished goods inventory
   b. Purchased goods inventory ✔
   c. Material and supplies inventory
   d. Work in process inventory
9. Cost of goods sold = Rs. 300,000
10. Beginning inventory = Rs. 30,000
11. Inventory turnover Ratio = 8.5 times
12. Average inventory = Rs. 35,000
13. Ending inventory = ?
    a. Rs. 150,000
    b. Rs. 65,000
    c. Rs. 80,000
    d. Rs. 40,000 ✔

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14. According to IASB framework, Financial statements exhibit to its users the:
    a. Financial position
    b. Cash inflow and outflow analysis
    c. Financial performance
    d. All of the given options ✔
15. If, Sales = Rs. 600,000
16. Markup = 20% of cost
17. What would be the value of Gross profit?
    a. Rs. 740,000
    b. Rs. 580,000
    c. Rs. 200,000✔
    d. Rs. 100,000
18. What is entry if purchases are made on credit under perpetual inventory system?
    a. Cash
    Inventory
    b. Accounts Payable
    Inventory
    c. Inventory✔
    Accounts Payable
    d. Inventory
    Cash
19. Which of the following is(are) form(s) of inventory of manufacturing entities?
    a. All of the given options✔
    b. Finished goods inventory
    c. Work in process inventory
    d. Material and supplies inventory
20. Which of the following statement is correct for "over-application of factory overhead cost"?

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a. None of the given option
b. It causes an increase in the cost of goods sold and reduces the gross profit✔
c. It causes an increase in the cost of goods sold and increases the gross profit
d. It causes the decrease in cost of goods sold and reduces the gross profit

21. The journal entry of purchse of stock under periodic inventory system would be?
a. Purchses to Inventory
b. Purchases to Cash✔
c. Inventory to Cash
d. None of the given options

22. When factory overhead (FOH) is under applied and charged to cost of goods sold, the treatment would be as follows:
a. Cost of goods sold at normal - under applied FOH =cost of goods sold at actual
b. Cost of goods sold at normal + under applied FOH =cost of goods sold at actual✔
c. Cost of goods sold at normal ÷ under applied FOH =cost of goods sold at actual
d. Cost of goods sold at normal X under applied FOH =cost of goods sold at actual

23. Reorder level – (Average consumption x average lead time) = ?
a. Minimum stock level✔
b. Maximum stock level
c. Danger stock level
d. Re-order level

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24. PVC company has ordering quantity 10,000 units.They have storage capacity 20,000 units,The average ordering quantity would be:
    a. 5,000
    b. 25,000
    c. 10,000✔
    d. 20,000
25. Which of the following costs is part of the prime cost for manufacturing company?
    a. Depreciation of truck used for deliveries to customers
    b. Cost of indirect production materials
    c. Cost of transporting raw materials from the supplier's premises✔
    d. Wages of factory workers engaged in machine maintenance
26. Direct material cost and Indirect material cost, both costs, are part of which of the following cost?
    a. Factory overhead cost
    b. Prime cost
    c. None of the given options✔
    d. Conversion cost
27. Which of the following inventory system maintains a complete and continuous record of movement of each inventory?
    a. Physical inventory system
    b. Perpetual Inventory system✔
    c. Periodic inventory system
    d. None of the given options

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28. In furniture manufacturing, the nails, pins, glue and polish are used to increase its esteem value. These costs are treated as:
    a. Prime cost
    b. Indirect material cost✔
    c. Direct material cost
    d. FOH cost
29. Which of the following will be deducted from gross profit to compute the amount of operating profit?
    a. Selling and marketing expense
    b. Administrative expense
    c. All of the given options✔
    d. Distribution expense
30. Average consumption x Emergency lead time = ?
    a. Maximum stock level
    b. Re-order level
    c. Danger stock level✔
    d. Minimum stock level
31. Amount of net purchases can be calculated as follows:
    a. Purchase of direct material less trade discount less purchase return less carriage inward add other material handling cost
    b. Purchase of direct material less trade discount add purchase return add carriage inward less other material handling cost
    c. Purchase of direct material less trade discount less purchase return add carriage inward add other material handling cost✔

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d. Purchase of direct material add trade discount less purchase return add carriage inward less other material handling cost

32. All of the following will be deducted from gross profit to arrive at the amount of operating profit EXCEPT:
    a. Financial expenses✔
    b. Selling and marketing expense
    c. Administrative expense
    d. Distribution expense

33. The abbreviation of LIFO is:
    a. Large integrated financial organization
    b. None of the given options
    c. Least interesting financial option
    d. Last-in-First-out method✔

34. Direct material cost is part of which of the following cost?
    a. Factory overhead cost
    b. Prime cost✔
    c. Financial cost
    d. Conversion cost

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